

Machine Learning Based Indian Stock Market Forecasting

Pavithra K

Master of Computer Applications
School of Computing
SASTRA Deemed University
Thanjavur-613402, India
kpavithra.342002@gmail.com

Varshini P

Master of Computer Applications
School of Computing
SASTRA Deemed University
Thanjavur-613402, India
pvarshini0002@gmail.com

P. Anu

School of Computing
SASTRA Deemed University
Thanjavur-613402, India
anugps12@gmail.com

D. Mohanapriya

Department of Computer Science
PSG College of Arts & Science
Coimbatore-641014, India
priyapsgcs@gmail.com

Soundharya S

Information Technology
E.G.S. Pillay Engineering College (Autonomous)
Nagapattinam-611002, India
parisha.sounds@gmail.com

Abstract- The financial stock market is unpredictable and nonlinear, making forecasting it difficult. A number of factors, including traders' irrational and reasonable actions as well as their psychological and emotional states, contribute to the stock market's growing volatility. Deep learning and AI-based algorithms have changed the financial stock market's movement prediction in recent years after receiving their education. Traders are using these Machine Learning (ML) approaches to help them make decisions on stock values. A model predicting the future direction of the Indian stock market's movement has been made available to the public. This model integrates historical Indian stock data from companies that have been part of the Nifty 50 from its establishment with a range of financial and social elements, such as stock-related comments and economic news items. In an attempt to improve accuracy and reduce RMSE error, this sequence of data is pre-processed, normalized, and then subjected to a diversity of machine learning (ML) techniques, including gradient boosting regression, long short-term memory (LSTM), support vector machine (SVM), K-nearest neighbor (KNN), and random forest. We are also applying a range of machine learning approaches and fine-tuning the LSTM in novel ways to improve accuracy. We are also computing metrics such as MAE and MSE. Those who invest in equities may use this tactic to halt large losses. Forecasts for the investing sector will become clearer thanks to the social indices. Tweets, trade volume, and previous closing prices will all be utilized by the LSTM network.

Keywords: SVM (support vector machine), Random Forest, K-nearest neighbor, Gradient boosting regressor, LSTM, Machine learning.

I. INTRODUCTION

Forecasting becomes increasingly difficult whenever stock trading data is shown as an economic sequence of events. Because the stock market is so unpredictable, making predictions has proven to be very difficult. The weather, natural disasters, significant financial reforms, and recent events all influence the tone of the market. Several

social, economic, and political aspects impact a company's stock's rise and fall; monitoring these factors can help enhance one's understanding of the stock market. Most of the time, investors make decisions based on the company's most recent performance or the value rise or decrease of the shares. Either the company's past performance is disregarded or isn't sufficiently examined. The job is to provide relevant suggestions and accurately predict the heading and final rate of a certain stock during a given time period. In this case, tweets and historical business stock prices could be employed as sentiment indicators. The Yahoo Finance API is useful to collecting (<https://finance.yahoo.com/quote/%5ENSEI/history/>) data. Developing a machine learning (ML) model that can forecast stock market movements and suggest stocks based on historical stock prices and Twitter tweets as social indicators is the primary objective of this research. The most accurate model will be used for prediction after analysis and optimization. As a point of reference, five listed companies on the Nifty, representing a variety of industries, are selected. Random Forest, Gradient Boosting Regressor, KNN, SVM, and LSTM are some of the implementation techniques that were used. Hero Motors, Britannia, Tech Mahindra, Wipro, and IOC are the organizations involved.

Shares prediction is the process of anticipating future price movements of a company's shares using various forms of data and analytical methodologies. It usually makes use of past data, indicators of technology (such moving averages and chart patterns), and fundamental analysis (including company profits, market circumstances, and economic considerations). In recent years, machine learning and artificial intelligence models have been used to forecast stock prices by recognizing patterns in big data sets. However, due to the volatility and complexity of financial markets, stock forecasts are inherently uncertain and carry a high amount of risk.

Understanding fluctuations in stock prices is crucial for assisting investors to arrive at informed decisions Ismail et al. (2020) [10]. Stock market forecasting involves a variety of mathematical methodologies and tools. Algorithms have revolutionized the financial industry. AI-enabled algorithms aim to improve financial efficiency and accuracy. These algorithms can modify the various patterns of the shares market.

Chen et al. (2021) [12]-[17] report that advancements in machine learning have created significant opportunity to use prediction theory to choose investments. Machine learning approaches enable real-time interpretation and integration of data from several sources. It aids in recognizing trends and forecasting prospective prices for shares.

Machine learning is a type of AI that allows organizations to pick up and enhance from previous experiences without any explicit programming. The goal is to create technologies that can analyse historical data and identify relationships. Machine learning allows for easy identification of patterns. Learning involves seeing and evaluating data to identify patterns and relationships. The learned model predicts future data outputs. Several articles provide an actual analysis for integrating ML algorithms with the share exchange.

In stock prediction, networks of neurons, particularly perceptron models, are critical for detecting difficult trends in economic information. These networks are made up of an input layer that accepts stock-related data (prices, volumes, indications), hidden layers that analysed this data by finding relationships, and an output layer that returns a forecast stock price or conclusion. Perceptron model (figure 1), which range from simple single-layer perceptron to more complicated perceptron with multiple layers, may represent both linear and nonlinear data patterns. Guided by biological neurons, which transfer signals via synapses, artificial neurons make decisions by processing inputs with weights and activation functions (such as RELU or Sigmoid). This replicates how biological neurons "fire" when thresholds are crossed.

The aforementioned neural networks can estimate stock price patterns by learning from past trading information, but predictions are risky due to monetary markets' fundamental inconsistency.

Several articles provide an instance study for integrating ML models with the share exchange. Liu et al. (2021) [9] used ML to develop algorithms that recognize trading cheating. The training and test sets were created by combining China Securities Regulatory Commission punishment cases from 2014-2016 with financial data from listed companies. Leippold et al. (2021) [1]-[8] demonstrated empirical asset pricing in the Chinese stock market using ML models. The objective of (Khang et al.

2021) [18]-[20] is to improve tools for decision-making for the Vietnamese share prices.

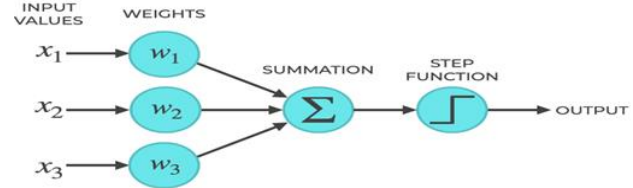


Fig. 1: Structure of Perceptron Model

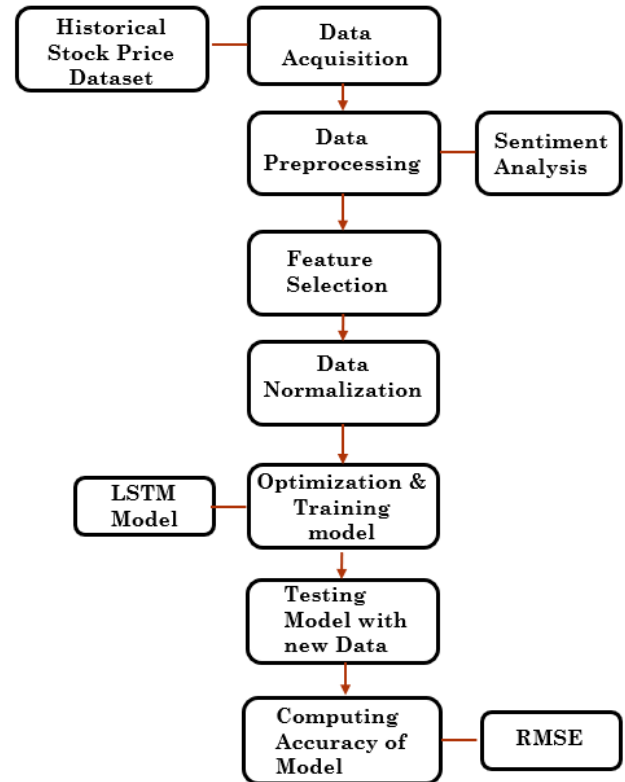


FIGURE 2: Work Flow of Stock Prediction

II. RELATED WORK

In accordance with Ismail et al. (2020) [10],[11], forecasting how stock prices will move is crucial for giving players in the market more information when making investment decisions. Stock market forecasting uses a variety of mathematical methods and educational resources. The financial industry has changed recently due to the application of algorithms. The goal of using artificial intelligence algorithms to power the financial sector is to increase its efficacy and precision. These algorithms can change the different trends in the stock market. Thanks to recent developments in machine learning, prediction theory

may now be successfully included into portfolio selection (Chenet et al., 2021) [12]. ML algorithms can manage the real-time collecting of data and analysis from several sources. It is useful for identifying trends as well as projecting stock values for the upcoming years. AI, which enables systems to automatically learn from the past as well as advance without explicit programming, includes machine learning as a subset. Its primary objective is to develop analytical algorithms using historical data and apply them to understand the connections between it. Pattern recognition is made easy with machine learning. Observing the data is the initial step in learning; it is then analyzed to search for patterns and relationships. The model created after the research is utilized to forecast the information flow in the future. Numerous publications have found that the stock

market is an effective way to illustrate how artificial intelligence technologies can be used. Using predictive modeling techniques, the researchers of Liu et al. (2021) [9] have developed stock market fraud detection systems. Between 2014 and 2016, financial data from listed businesses and penalty cases from the China Securities Regulatory Commission were combined to generate a set for training and a testing set. In a unique study, Leippold et al. (2021) [8] employed a range of ML techniques to provide analytical pricing of assets in the Chinese market for shares. The goal of (Khang et al. 2021) [18] is to enhance choices support techniques for the Vietnamese stock market; comparable works on machine learning-based Indian stock market forecasting are shown in Table 1.

TABLE I: RELATED WORKS ON MACHINE LEARNING-BASED INDIAN STOCK MARKET FORECASTING

Year	Author	Description
2022	Paki and Abbasimehr	Improving the estimate of longitudinal data using LSTM models and attention.
2021	Chen and others	The prognosis for the share sectors uses mean-variance portfolio optimization based on ML.
2021	Liu and associates	using machine learning approaches to build share detection models on exchange manipulation.
2021	Pham Quoc Khang and associates	Making use of ML to predict liquidity in the stock market of Vietnam.
2021	Kumar and others	Machine learning for retail and data extraction
2021	Maji and associates	Stock predictions, investment management, and curve fitting techniques.
2021	Leippold and associates	Application of ML to the stock market in China.
2020	Ismail and associates	Utilizing machine learning algorithms with persistent homology can assist forecast changes in stock values the following day, according to data from the Kuala Lumpur Stock Exchange.
2020	Ding and associates	Make stock market predictions by applying the genetic programming method.
2020	Murali and others	Using a neural network and the GARCH method in conjunction with the whale optimization algorithm to predict yield: an amalgamation of machine learning techniques
2019	Lee and others	Applying machine learning techniques and financial network indicators to guide international stock market investment strategies
2019	Peng	A thorough analysis of trends in share market volatility and investor sentiment using a large-scale strategy.
2019	Chatzis and associates	Stock market crises can be predicted using deep learning techniques and statistics.

III. PROPOSED MODEL

In essence, the stock exchange is an equity market, or share market, since it acts as a marketplace for buyers and sellers. Creating ownership claims for companies may involve stocks that are only listed on a public stock exchange or securities that are traded covertly. The many information sources, including past stock values data and business performance data, will be processed by ML techniques. The main goal of ML is to create and construct algorithms that can examine historical data and determine its correlations. Using machine learning algorithms to detect trends in the

data., investors can make well-informed choices. Investors usually need to examine a variety of information sources, such as news articles, company histories, and industry trends, before making a prediction. Finance models have been used by trading businesses, trading firms, and individual investors to better understand market behavior and execute smart sales and purchases. Despite their best attempts, they don't seem to be able to comprehend why the company's stock increased or decreased on a certain day. The complex interplay of physiological versus physical variables and rational versus illogical behaviors has made it impossible for even the most seasoned traders to predict

when stock values will rise or fall. The suggested approach is based on an analysis of past stock market data as well as particular sociological features in order to predict investor mood and ultimately aid in stock market forecasting. The figure 2 represents work flow of stock prediction.

IV. ALGORITHMS

The stocks were predicted using the following methods: SVM, LSTM, Random Forest, KNN and Gradient Boosting Regressor.

A. SUPPORT VECTOR MACHINE

Among the finest flexible as well as dependable SVM techniques is the vector machine. This implies that it frequently yields excellent outcomes regardless of the circumstance.

B. K-NEAREST NEIGHBOR

Using a similarity measure, KNN is a straightforward algorithm that maintains all existing examples and classifies incoming data or instances. This method mainly classifies a point of data determined by the classification of the surrounding areas. The KNN method can perform better even with the most accurate models since it produces extremely accurate recommendations. Thus, the KNN technique can be used to solve issues that don't require a human-readable model but do require a high degree of accuracy which determines one of the most widely used algorithms for text recognition. Another interesting use is the evaluation of forest inventories and the calculation of forest attributes.

C. RANDOM FOREST

Leo Breiman and Adele Cutler invented Random Forest, a popular machine learning technique. To obtain a single outcome, it integrates the output of several decision trees. Its versatility, ease of use, and ability to manage both regression and classification problems have contributed to its appeal. Take into consideration the following example: a series of pictures showing fruits. The Random Forest Classifier is also included with this dataset. Each decision tree receives a chunk of the dataset for usage. Every decision tree generates a prediction result during the training phase. Data scientists employ random forests in many different areas, including e-commerce, banking, stock trading, and medical. It is used to forecast the variables that keep these industries running smoothly, such as patient history, safety, and consumer behavior.

D. GRADIENT BOOSTING

One kind of machine learning boosting is called gradient boosting, which is predicated on the idea that combining the best later model with earlier models can lower the overall prediction error. By defining the intended outcomes for the subsequent model, the main goal is to minimize error. When forecasting continuous and categorical target variables, the gradient boosting technique can be applied as a classifier or regression. It is frequently

used when basic students employ fixed-size trees for decisions. Friedman advises modifying the gradient boosting technique to increase each base learner's degree of fit.

E. LONG SHORT-TERM MEMORY

According to the figure 3, LSTM is described through full process. Neural networks can employ a variety of architectures, one of which is LSTM. These kinds of RNNs forecast input as a feature series. For data like text strings or time series, it is helpful. RNNs with LSTM were created to solve long-term dependability problems in sequence prediction applications. In 1997, Hochreiter & Schmidt introduced it. Because the LSTM cell allows for the evolution of even more settings, it adds long-term memory in a way that is even more performant. It is the greatest [Recurrent Neural Network] for prediction as a result, particularly in situations when your data exhibits a longer-term trend. The LSTM design is shown in figure 8 and is controlled by gates that regulate information entering and departing LSTM cells. InputGate: This gate allows the entry of any optional data from the current cell state. After determining if the data is pertinent to the present input, it grants access to it. The next concealed state is updated and finished by the emission barrier.

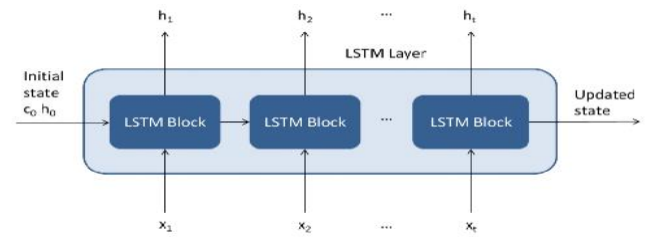


Fig. 3: LSTM

TABLE II: TECHNOLOGIES USED

S. No.	Techniques	Algorithms
1.	Machine Learning	KNN, Random forest, Gradientboosting & SVM
2.	Deep Learning	LSTM
3.	Sentiment analysis	Tweets

II. METHODOLOGY

The project's goal is to develop a framework that can forecast price changes and make stock recommendations. In order to forecast the future value of the company's shares, a variety of machine learning techniques are examined. A publicly listed company's historical stock price data is first obtained, along with certain other significant social and financial data. The proposed model uses the LSTM algorithm and Twitter tweets as a social sentiment indicator. An LSTM network that predictions stock values based on historical closing prices, tweets, and trade volume is constructed using Keras. Additionally, the system displays the projected price ranges over time as well as the

percentage of errors.

III. COLLECTION OF DATA

The past data of the NIFTY50 enterprises is available from January 1, 2009, until January 1, 2020. The main elements of this dataset are the volume for each business, the Nifty index, the open, low, close, high, and adjusted close. The pandas data reader's integrated Yahoo API is used to retrieve past stock values from YahooFinance.com. We measure sentiment using business tweets from the Nifty50. All of the comments connected to each firm are gathered from the Twitter web page through the use of internet scraping. As a result, a dataset is updated with the time and location of every top tweet on Twitter referencing an item.

IV. PRE-PROCESSING OF DATA

Following the data is gathered, preparation of data is done on it to make sure information can be retrieved in a way that is clear and concise and doesn't include duplication or ambiguity. All unnecessary punctuation has been removed from each tweet in this instance. Then, all of the messages from the same day are grouped together, regardless of the tweet's time. At last, the Analysis of sentiment method is applied to the collected information. Analysis of sentiment has been done using Text Blob and Sentiment Intensity Analyzer. There are four features in the Sentiment Intensity Analyzer: "positive," "negative," "neutral," and "compound," all of which fall into the interval $(-1,1)$. Positive tweets usually lead to positive opinions of the business, which raises the "Positive" score. Similar to this, when a company receives negative tweets, investors start to think negatively about it, which is why the "negative" score is also high. Positive emotions include joy, excitement, friendliness, etc. Negative emotions include betrayal, anger, hatred, violence, and despair. A neutral tweet is one that is classified as such; these three components together represent the overall sentiment of investors, and the term "compound" is the result of combining them. Two characteristics of text blogs are "polarity" and "subjectivity." Polarity is a numerical value between -1 and 1, where a negative number denotes a generalized negative attitude and a positive value denotes a generalized positive emotion. "Subjectivity" is a scale from 0 to 1, where severe objectivity is represented by 0 and extreme subjectivity by 1. We now aggregate all of the sentiment analysis characteristics using the stock values information to build a concluded dataset with twelve characteristics such as subjectivity, polarity, open, low, close, high, adjusted close, volume, positive, negative, neutral, compound, and so on. The technologies utilized in this investigation is shown in Table 2.

V. MODEL TRAINING AND OPTIMIZATION

Once it has been given a test dataset, unseen data is calculated. The root mean model training and optimization

is used to calculate errors. The supervised model is now trained on the gathered data with the aim of decreasing the overall error percentage and increasing the average accuracy. An LSTM neural network is employed here. For training purposes, the train dataset (which contains 80% of the original data) and the test dataset (20% of the initial data) are split into two halves in a 4:1 ratio. Next, rescaling is applied to the train and test datasets, yielding a current range of $(-1, 1)$. The models are fitted and adjusted using the training data. Using fresh data, the precision of the model is assessed using the test procedure of Data. Time-step is necessary in order to turn the data into a time series. To forecast the target value for the present or the future, one needs look at the quantity of the goal value from the day before. In this instance, "Close" is the target value. The three-dimensional dataset (batch size, features and timestep) that has been produced by turning the collections towards a sequence of time is utilized to train the LSTM model. This is an example of how to train models for sophisticated neural systems using "ADAM," an optimizer that applies the theory of stochastic gradient descent. The best results with the lowest error percentage are obtained when grid search is used to fine-tune the hyper parameters, such as the number of nodes, layer of network number, component size, loss etc. In Grid Search, "looking for area" refers to the array of parameters values that need for being refined even more. We next train the model with every possible combination of these hyper parameters to find the best hyper parameters that give us the lowest validation loss. Finally, the model is constructed using the ideal parameters.

VI. ERROR CALCULATION AND MODEL TESTING

The method of error detection is square (RMS). Real-time data is also used to evaluate the architecture and ensure its feasibility. In order to provide an graphical illustrations of the model's precision, the output of the system is finally plotted against actual historical data; table 3 displays the error frequency.

TABLE III: AN ERROR FREQUENCY

Techniques	Britannia	Hero Motors	IOC	Tech Mahindra	Wipro
SVM	2.64%	1.92%	2.26%	2.52%	2.05%
KNN	2.16%	1.97%	2.48%	2.65%	2.18%
Random forest	2.35%	2.21%	2.59%	2.90%	2.33%
Gradient boosting	2.18%	1.92%	2.35%	2.55%	2.22%
LSTM	1.97%	1.22%	1.12%	1.45%	1.87%

II. RESULTS

Stock predictions use a variety of methodologies to estimate a stock's future performance, allowing investors to

make informed selections. This can be accomplished by technical and fundamental evaluation, quantitative investigation, investor sentiment analysis, and machine learning. These approaches attempt to anticipate a stock's probable future price movement, but bear in mind that predictions are not guaranteed and carry risk, so conduct your own research and speak with experts in finance before

trading. Stock forecasts employ a variety of methodologies, including financial analysis, price trends, and market sentiment, to estimate a stock's potential future success, allowing investors to make more educated selections; however, keep in mind that projections are risky and cannot be guaranteed.

Britannia		Hero Motors		IOC		Tech Mahindra		Wipro	
Actual Values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values
4131.500000	4128.040797	2739.449951	2731.830538	69.300003	69.663149	1066.849976	1067.281631	398.250000	396.789165
258.475006	262.081303	1837.849976	1818.909066	43.308334	42.660159	165.137497	164.699205	148.593781	150.318997
165.005005	172.864813	1920.500000	1913.875831	50.908333	49.083143	193.812500	193.090651	151.796249	150.847229
3182.899902	3237.533225	3506.149902	3492.648602	111.466667	109.741814	646.299988	648.084834	213.600052	213.308468
628.299988	591.465966	2564.699951	2570.290787	58.741665	59.659208	588.337524	579.658103	206.587555	208.596944
699.450012	674.004286	2874.949951	2841.227187	60.450001	60.430749	630.200012	623.740488	230.906311	224.268603
4084.500000	4047.642132	2889.500000	2934.567536	76.400002	78.877596	1431.300049	1451.965645	662.500000	663.154361
244.524994	236.171866	2051.750000	1971.328772	51.016666	51.511650	162.199997	159.711819	125.718781	123.095677
169.845001	180.498458	1327.500000	1362.517111	47.500000	47.900453	115.912498	123.157882	83.058754	86.068086
3404.250000	3424.176339	2364.949951	2364.152431	56.566666	56.235479	535.900024	536.565651	218.149994	218.224264
498.625000	456.899615	2642.800049	2616.065940	57.200001	57.007690	504.549988	499.333919	198.431305	199.487084
156.554993	167.939255	1464.849976	1444.137517	45.937500	45.782652	190.274994	195.449046	85.578751	85.521956
1440.900024	1450.484609	2623.050049	2618.618479	71.449997	71.446387	544.650024	537.371368	216.018799	213.875888
4574.700195	4499.444584	3098.449951	3092.449067	90.849998	90.301076	1194.099976	1201.040354	411.049988	416.815844
1493.199951	1466.047807	2686.050049	2695.059712	72.208336	71.488033	520.049988	522.557816	208.668808	210.319219
248.000000	252.525971	1848.750000	1845.506729	47.691666	47.679168	243.899994	233.571530	178.968796	181.342086
435.649994	419.397825	2061.000000	2020.011593	34.625000	35.215179	369.012512	359.580366	209.568802	225.948429
1393.925049	1404.041930	2986.300049	3042.727963	70.824997	70.663346	476.350006	484.087751	151.331284	149.847420
205.589996	208.769626	1764.800049	1788.848261	70.658333	68.587207	161.699997	160.321025	411.700012	417.269053
4535.049805	4449.076531	2927.050049	2994.133592	91.400002	92.248289	1210.800049	1234.542719		

Britannia		Hero Motors		IOC		Tech Mahindra		Wipro	
Actual Values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values
4131.500000	4139.290039	2739.449951	2729.529980	69.300003	70.188333	1066.849976	1068.659985	398.250000	396.789165
258.475006	263.520001	1837.849976	1811.430005	43.308334	42.755000	165.137497	167.495001	148.593781	150.318997
165.005005	164.792999	1920.500000	1906.640015	50.908333	49.761666	193.812500	188.405002	151.796249	150.847229
3182.899902	3205.119971	3506.149902	3501.750000	111.466667	109.066667	646.299988	639.980005	213.600052	213.308468
628.299988	626.289900	2564.699951	2573.070020	58.741665	59.414999	588.337524	558.572498	206.587555	208.596944
699.450012	706.345007	2874.949951	2838.770020	60.450001	57.471666	630.200012	620.745007	230.906311	224.268603
4084.500000	4060.350049	2889.500000	2934.029931	76.400002	78.379999	1431.300049	1448.840015	662.500000	663.154361
244.524994	234.689999	2051.750000	1992.010010	51.016666	52.545834	162.199997	160.797504	125.718781	123.095677
169.845001	172.663000	1327.500000	1412.519995	47.500000	48.404166	115.912498	119.957498	83.058754	86.068086
3404.250000	3441.984951	2364.949951	2351.690039	56.566666	56.473332	535.900024	538.419995	218.149994	218.224264
498.625000	465.394995	2642.800049	2596.479980	57.200001	56.816666	504.549988	495.080005	198.431305	199.487084
156.554993	160.355002	1464.849976	1453.910010	45.937500	45.780000	190.274994	197.457501	85.578751	85.521956
1440.900024	1471.964990	2623.050049	2620.350000	71.449997	71.693334	544.650024	537.730005	216.018799	213.875888
4574.700195	4579.979980	3098.449951	3074.830029	90.849998	90.480000	1194.099976	1200.850000	411.049988	416.815844
1493.199951	1488.950519	2686.050049	2706.310010	72.208336	71.303334	520.049988	520.659992	208.668808	210.319219
248.000000	251.645001	1848.750000	1843.059985	47.691666	47.492499	243.899994	235.289999	178.968796	181.342086
435.649994	427.160004	2061.000000	2034.190015	34.625000	35.917499	369.012512	354.912500	209.568802	225.948429
1393.925049	1434.355005	2986.300049	3065.220020	70.824997	70.506665	476.350006	481.000000	151.331284	149.847420
205.589996	205.299002	1764.800049	1785.460010	70.658333	68.714999	161.699997	157.737497	411.700012	417.269053
4535.049805	4504.330078	2927.050049	2985.049951			1210.800049	1219.230029		

Fig. 4: Actual vs Predicted Stock Prices using SVM & KNN

Britannia		Hero Motors		IOC		Tech Mahindra		Wipro	
Actual Values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values
4131.500000	4152.951294	2739.449951	2727.627448	69.300003	69.628349	1066.849976	1071.463714	398.250000	398.117977
258.475006	263.398941	1837.849976	1812.630896	43.308334	42.614960	165.137497	165.311071	148.593781	150.538051
165.005005	165.835389	1920.500000	1895.783915	50.908333	49.235067	193.812500	190.343346	151.796249	149.884972
3182.899902	3203.209903	3506.149902	3497.661010	111.466667	109.376103	646.299988	645.758543	213.600052	212.088052
628.299988	623.786317	2564.699951	2578.488885	58.741665	59.659586	588.337524	581.768522	206.587555	208.576375
699.450012	708.899549	2874.949951	2838.710506	60.450001	59.082782	630.200012	624.908722	230.906311	223.126655
4084.500000	4057.569645	2889.500000	2939.879657	76.400002	79.234580	1431.300049	1455.782866	662.500000	667.655487
244.524994	235.683944	2051.750000	1964.932246	51.016666	51.363634	162.199997	157.612936	125.718781	125.924080
169.845001	175.016884	1327.500000	1398.211724	47.500000	48.042262	115.912498	121.367159	83.058754	85.381528
3404.250000	3434.629935	2364.949951	2360.860280	56.566666	56.466427	535.900024	536.286614	218.149994	218.149463
498.625000	458.840440	2642.800049	2620.477161	57.200001	57.447940	504.549988	502.225742	198.431305	198.757798
156.554993	161.039396	1464.849976	1458.327951	45.937500	46.073737	190.274994	197.755681	85.578751	85.381528
1440.900024	1465.217869	3098.449951	3092.244399	90.849998	90.305073	544.650024	536.286614	216.018799	212.088052
4574.700195	4553.421487	2623.050049	2620.477161	72.208336	71.424197	1194.099976	1195.162393	411.049988	417.716406
1493.199951	1480.174814	2686.050049	2699.851201	47.691666	47.990780	520.049988	520.613592	208.668808	211.094611
248.000000	250.865455	1848.750000	1854.598931	34.625000	35.389684	243.899994	235.572219	178.968796	182.736912
435.649994	428.180006	2061.000000	2031.289206	70.824997	70.704162	369.012512	381.310011	209.568802	227.877300
1393.925049	1427.720552	2986.300049	3061.539020	70.658333	68.678222	476.350006	479.912672	151.331284	150.538051
205.589996	203.954195	1764.800049	1776.704743	91.400002	91.928702	161.699997	163.717117	411.700012	417.716406
4535.049805	4490.237224	2927.050049	2987.943880			1210.800049	1228.331728		

Britannia		Hero Motors		IOC		Tech Mahindra		Wipro	
Actual Values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values
4131.500000	4148.196548	2739.449951	2708.800930	69.300003	68.993300	1066.849976	1064.674209	398.250000	395.001998
258.475006	265.111243	1837.849976	1811.291522	43.308334	42.150556	165.137497	164.281468	150.598498	150.598498
165.005005	165.053696	1920.500000	1908.797027	50.908333	50.483248	193.812500	184.113749	151.796249	146.345913
3182.899902	3155.720870	3506.149902	3514.217056	111.466667	110.201726	646.299988	633.105641	213.600052	212.406241
628.299988	623.684996	2564.699951	2558.675007	58.741665	58.806894	588.337524	569.384999	206.587555	208.603700
699.450012	702.296000	2874.949951	2863.726482	60.450001	55.369211	630.200012	615.915750	230.906311	226.321650
4084.500000	4045.994046	2889.500000	2931.988918	76.400002	78.562493	1431.300049	1453.115491	662.500000	667.526812
244.524994	235.030904	2051.750000	1955.817993	51.016666	51.882531	162.199997	159.096130	125.718781	127.619689
169.845001	173.711552	1327.500000	1418.409510	47.500000	48.557291	115.912498	113.210875	83.058754	85.163068
3404.250000	3433.158324	2364.949951	2354.544269	56.566666	56.421666	535.900024	536.948339	218.149994	217.325043
498.625000	468.445001	2642.800049	2597.040964	57.200001	57.145151	504.549988	499.065008	198.431305	196.062295
156.554993	162.261752	1464.849976	1427.872029	45.937500	45.896334	190.274994	193.828247	85.578751	85.460099
1440.900024	1468.006990	2623.050049	2635.206021	71.449997	71.342723	544.650024	534.884769	216.018799	208.274675
4574.700195	4573.561474	3098.449951	3062.840471	90.849998	89.964473	1194.099976	1193.183487	411.049988	416.399590
1493.199951	1500.931995	2686.050049	2717.300969	72.208336	72.492021	520.040008	498.406008	208.668808	213.695800
248.200000	249.985042	1948.750000	1876.181002	47.691666	47.655767	243.899929	235.120625	148.59037	149.315617
435.649994	428.941758	2061.000000	2027.303012	34.625000	35.050499	369.812512	369.666371	178.968799	181.810009
1393.925049	1422.026524	2986.300049	3071.478467	70.824997	70.432705	476.350006	460.714493	209.568800	223.191921
205.589996	204.994299	1764.800049	1776.707473	70.658333	68.616001	161.699997	163.579750	151.331284	148.887983
4535.049805	4498.504097	2927.050049	2987.943880	91.400002	91.779758	1210.800049	1206.089014	411.700012	409.931000

Britannia		Hero Motors		IOC		Tech Mahindra		Wipro	
Actual Values	Predicted Values	Actual Values	Predicted Values	Actual values	Predicted Values	Actual Values	Predicted Values	Actual Values	Predicted Values
3610.750000	3613.874023	3358.550049	3262.740479	60.933334	64.615974	997.099976	1020.538818	446.450012	483.347931
3603.750000	3612.525391	3397.399902	3342.224365	61.733334	64.103172	981.599976	1009.551758	431.899994	487.027924
3501.100098	3614.073486	3256.050049	3358.659424	62.166664	63.282730	961.400024	1013.358032	417.899994	496.714874
3520.750000	3623.080322	3340.649902	3378.694336	63.866665	62.566990	941.750000	1006.275269	421.500000	494.495941
3501.250000	3589.905273	3293.850098	3372.216797	65.866669	62.121464	957.200012	993.511719	428.350006	488.813873
3516.500000	3577.854004	3380.800049	3375.683594	67.900002	62.006611	981.450012	978.451599	433.500000	482.779663
3580.000000	3559.129150	3440.699951	3333.314453	69.066666	62.463604	969.200012	975.284790	429.899994	481.570282
3541.649902	3537.899658	3429.199951	3348.163574	68.266663	63.687542	959.400024	979.685730	425.549988	469.651306
3473.699951	3516.205322	3495.000000	3359.213867	69.400002	64.924232	982.549988	979.252319	435.299988	464.014862
3462.399902	3523.767334	3499.449951	3397.977295	65.133331	66.067764	975.099976	976.573425	439.350006	468.751099
3424.850098	3506.826416	3538.949951	3431.827637	64.500000	67.274734	974.900024	986.821289	439.000000	474.900482
3462.750000	3506.725830	3541.500000	3479.180664	63.400002	66.845955	985.599976	990.378662	437.000000	477.872528
3421.250000	3503.456055	3515.750000	3518.024170	62.766666	66.141228	991.200012	989.716187	442.000000	476.644257
3417.000000	3475.060547	3465.399902	3538.761963	63.733334	65.388901	979.200012	994.867920	439.700012	478.110748
3389.449951	3438.016357	3461.550049	3555.902588	63.333332	63.764648	986.799988	1002.864258	437.549988	486.137329
3364.000000	3423.710693	3584.000000	3542.643555	66.000000	63.525293	980.450012	1000.905151	430.200012	488.567535
3359.449951	3404.494141	3522.850098	3534.740479	65.033333	63.297653	1010.599976	1003.422241	432.950012	488.021698
3331.199951	3399.974609	3389.699951	3558.925537	63.766666	63.494240	993.950012	1003.010559	429.950012	486.767029
3341.199951	3374.299316	3414.149902	3552.318359	65.099998	63.661190	950.700012	1014.314148	418.700012	487.903168
3335.949951	3356.671143	3405.449951	3505.482666			945.750000	1014.815430	415.500000	484.004242

Fig. 5: Actual vs Predicted Stock Prices using Random Forest, Gradient Boosting & LSTM

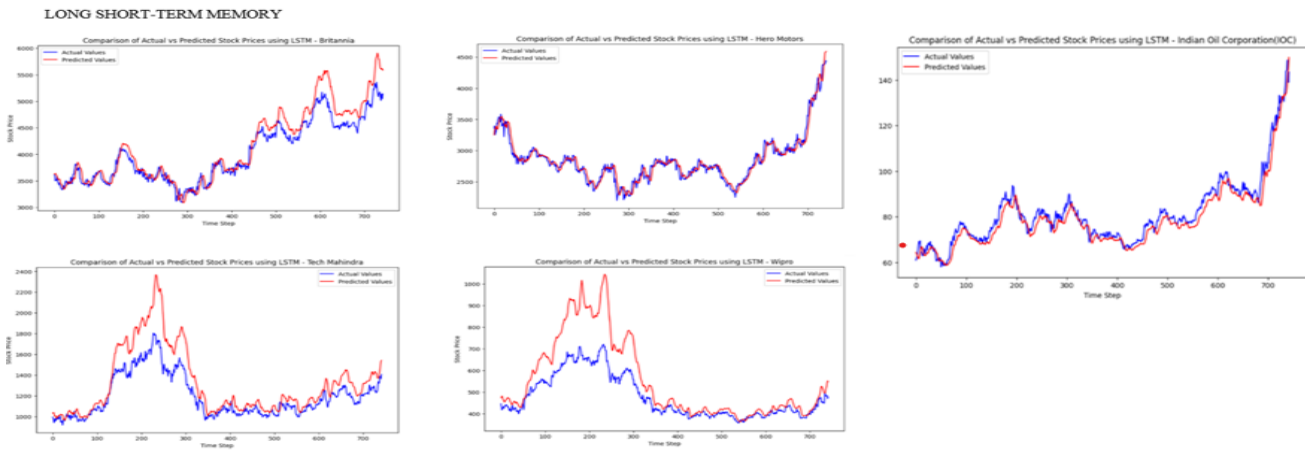


Fig. 6: Actual vs Predicted Stock Prices using LSTM [Britannia, Hero Motors, Indian Oil Corporation, Tech Mahindra & Wipro]

This study successfully demonstrated the usefulness of multiple machine learning techniques in forecasting market developments. Using a dataset that included Britannia, Wipro, IOC, Tech Mahindra, and Hero Motors, our experiments indicated significant accuracy for forecasting stock values. LSTM outperformed the other algorithms used, including SVM, KNN, Random Forest, and Gradient Boosting.

This study uses SVM, Gradient boosting, KNN, LSTM and Random Forest algorithms to analyze historical stock price datasets implemented by Britannia, Wipro, Tech Mahindra, Indian Oil Corporation (IOC), and Hero Motors companies. The tool shows a comparison of expected and actual prices for certain companies. Visual depiction improves understanding of model accuracy and predicted values.

The LSTM strategy surpasses the others because it can learn long-term relationships and patterns within longitudinal data, making it especially useful for forecasting stocks. LSTM is a sort of RNN that uses cells with memories to store information across time, allowing it to capture complicated temporal relationships while providing accurate forecasts.

II. CONCLUSION

An overview of research on several machine learning systems for stock market prediction is provided in this study. Five machine learning techniques, including gradient booster regressor, random forest, KNN, SVM, and LSTM, were compared by the authors of this work. Five firms' worth of data have been examined: Tech Mahindra, Britannia, Hero Motors, Wipro, and IOC. It has been investigated whether sentiment analysis may be used to predict stock market values. Even in situations when there is a complex and dynamic link between stock values and public sentiment, the model can nevertheless accurately forecast the general direction of change in firm prices. There have been multiple occasions where the system has not produced the expected results for some businesses. The real-time difference between expected and actual prices, which is determined to be between 1% and 2%, lends credence to it. Hybrid cars may be created in the future to get better outcomes. The goal is to assist clients in analyzing and speculating on changes in stock prices so they can purchase equities to increase their profits. The investigation's conclusions show that the LSTM model can lower mistakes and performs better than competing methods.

Our future work is to develop or improve the models to predict the stock prices closely and to reduce the errors by

using the Gated Recurrent Units (GRU) and Recurrent Neural Network (RNN) algorithms to assess the Tata Motors, Yamaha Motor, Reliance Industries Limited firms, and State Bank of India dataset implementation and also going to employ various technical indicators, such as EMA and SMA. Assisting the client with stock price analysis and forecasts so they can buy stocks to maximum profit is the aim.

REFERENCES

- [1] Murali P, Revathy R, Balamurali S et al Integration of RNN with GARCH refined by whale optimization algorithm for yield forecasting: a hybrid machine learning approach. *J Ambient Intelligence Human Computing*. <https://doi.org/10.1007/s12652-020-01922-2>, 2020.
- [2] Abbasimehr H, Paki R, Improving time series forecasting using LSTM and attention models. *J Ambient Intellig Human Computing* 13:673–691. <https://doi.org/10.1007/s12652-020-02761-x>, 2022.
- [3] Maji G, Mondal D, Dey N et al, Stock prediction and mutual fund portfolio management using curve fitting techniques. *Journal of Ambient Intelligence and Humanized Computing* 12:9521–9534. <https://doi.org/10.1007/s12652-020-02693-6>, 2021.
- [4] Kumar MR, Venkatesh J, Rahman AMJMZ, Data mining and machine learning in retail business: developing efficiencies for better customer retention. *Journal of Ambient Intelligence and Humanized Computing*. <https://doi.org/10.1007/s12652-020-02711-7>, 2021.
- [5] Shilpa Srivastava, Millie Pant, Varuna Gupta, Analysis and prediction of Indian stock market: a machine- learning approach. *Int J Syst Assur Eng Manag*. <https://doi.org/10.1007/s13198-023-01934-z>, 2023.
- [6] Peng D, Analysis of investor sentiment and stock market volatility trend based on big data strategy. In: *International conference on robots and intelligent system(ICRIS)*, Haikou, China. pp 269–272, 2019.
- [7] Murali P, Revathy R, Balamurali S et al (2020)Integration of RNN with GARCH refined by whale optimization algorithm for yield forecasting: a hybrid machine learning approach. *J Ambient Intelligence Human Computing*, <https://doi.org/10.1007/s12652-020-01922-2>, 2020.
- [8] Leippold M, Wang Q, Zhou W (2021) Machine learning in the Chinese stock market. *J Finance Econ*. <https://doi.org/10.1016/j.jfineco.2021.08.017>
- [9] Liu Q, Wang C, Zhang P, Zheng K (2021) Detecting stock market manipulation via machine learning: Evidence from China Securities Regulatory Commission punishment cases. *Int Revi Finance Anal* 78. <https://doi.org/10.1016/j.irfa.2021.101887>
- [10] Ismail MS, Salmi M MN, Ismail M, Razak FA, Alias MA (2020) Predicting next day direction of stock price movement using machine learning methods with persistent homology: evidence from Kuala Lumpur stock exchange. *Appl Soft Computing* 93:106422
- [11] Lee HC, Lee YH, Lu YC, Wang YC (2020) States of psychological anchors and price behavior of Japanese yen futures. *N Am J Econ Finance*. <https://doi.org/10.1016/j.najef.2018.10.016>
- [12] Chen W, Zhang H, Mehlawat MK, Jia L (2021) Mean–variance portfolio optimization using machine learning-based stock price prediction. *Appl Soft Computing* 100:106943
- [13] Ding S, Cui T, Xiong X et al Forecasting stock market return with nonlinearity: a genetic programming approach. *J Ambient Intelligence Human Computing* 11:4927–4939. <https://doi.org/10.1007/s12652-020-01762-0>, 2020.
- [14] Ghanavati M, Wong RK, Chen F, Wang Y, Fong S, A generic service framework for stock market prediction. In: *2016 IEEE international conference on services computing (SCC)*, San Francisco, CA. pp 283–290. <https://doi.org/10.1109/SCC.2016.44>, 2016.
- [15] Goykhman M, Teimouri A, Machine learning in sentiment reconstruction of the simulated stock market. *Phys A Stat Mech Appl* 492:1729–1740, 2018.
- [16] Henrique BM, Sobreiro VA, Kimura H, Stock price prediction using support vector regression on daily and up to the minute prices. *J Finance Data Scie* 4(3):183–201, 2018.
- [17] Chauhan P, Sharma N, Sikka G, The emergence of social media data and sentiment analysis in election prediction. *J Ambient Intelligence Human Computing* 12:2601–2627. <https://doi.org/10.1007/s12652-020-02423-y>, 2021.
- [18] Khang PQ, Kaczmarczyk K, Tutak P, Golec P, Kuziak K, Depczyński R, Hernes M, Rot A Machine learning for liquidity prediction on Vietnamese stock market. *Procedia Computing Sci* 192:3590–3597. <https://doi.org/10.1016/j.procs.2021.09.132>, 2021.
- [19] Gunduz H, Cataltepe Z, Yaslan Y, Stock market direction prediction using deep neural networks. In: *25th Signal processing and communications applications conference (SIU)*, Antalya. pp 1–4, 2017.
- [20] Izzah A, Sari YA, Widyastuti R, Cinderatama TA, Mobile app for stock prediction using improved multiple linear regression. In: *International conference on sustainable information engineering and technology (SIET)*, Malang. pp 150–154, 2017.